The market had legitimate fears about recent developments, like the transition from desktop PCs to tablets, real operating system competition for Windows from Apple's iOS, and the potential for Google Chrome to take word-processing market share from Office. Moreover, the Microsoft management team had not been covering itself in glory.

While the stock market was pricing the company as one whose prospects had dimmed, we felt that Microsoft was underappreciated. For example, Salesforce.com, a leading cloud player with $2 billion in revenues, was valued at more than 100x forward earnings. Microsoft was also a leading cloud player, as measured by number of users and revenue, yet the market awarded it just one-twelfth the P/E of Salesforce. To bolster its place in the cloud, in 2010 Microsoft said it would spend 90% of the company's annual $9.6 billion R&D budget on its cloud strategy (a sum more than 4x Salesforce.com total revenues). With Microsoft's R&D staff of 40,000 and a portfolio of product offerings that touches almost every organization in one way or another, we were confident the company would remain relevant in the burgeoning world of corporate cloud computing

While Microsoft's earnings grew at an annualized rate of 17.4% from 1999 to 2009, its stock price declined at an annualized 5.3%. Applying the principles of Graham and Dodd, we determined that Microsoft's intrinsic value was well in excess of its market value and moreover, it had good growth prospects. We bought the stock in 2010 at 12x trailing earnings net of cash (13.4x reported), a 20% discount to the S&P 500 that traded at a P/E of around 15x at that time.

From 2010 to 2020, the company's earnings per share grew at a 10.8% annual rate, aided by repurchasing almost 13% of its shares. Its price earnings multiple expanded to 38.3x trailing earnings, which drove a 25.9% annualized total return over the decade, inclusive of dividends.

Was Microsoft a growth stock or a value stock? It was both! While the company delivered sound earnings growth, the price at which we